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How are Coordinated Market Economies Coordinated? Evidence from Sweden

TORSTEN SVENSSON and PEROLA ÖBERG

Central actors in coordinated economies have a dense network of associations for coordinating their actions. However, we lack knowledge of how such relationships are constituted and how the mechanisms of such coordination work. In the present article, we concentrate on the non-market mechanisms of power and trust. We want to know: Are all actors in the industrial relations system connected to each other or are they divided into contending but coherent groups? And in that case, do certain actors playing the role of 'brokers' connect these groups? A social network analysis on survey data from Sweden shows that the state and the peak-organisations still hold powerful positions. Simultaneously, when concentrating on reciprocal ties, the organisational borders are in particular bridged over by public sector organisations. However, actors with power are not highly trusted. Instead, other state actors – especially the Labour Court – play an important role as a broker that all parties trust.

Different institutional settings in capitalist countries produce different outcomes. In some countries, economic actors are coordinated by means of non-market relations and are even involved in (tripartite) concertation (Hall and Soskice 2001; Compston 2003; Regini 2003). According to Hall, central actors in coordinated economies have 'a dense network of associations for coordinating their actions on wages, training programmes, research, and other matters' (Hall 1999: 143). However, we lack knowledge of how such relationships are constituted and how the mechanisms of such coordination work.

Hence, the problems that are supposed to be coordinated involve not only wage coordination, but also many other political and economic issues that affect overall economic performance (Hall 1999: 144). Coordination might arise spontaneously in some countries, while in other coordinated market economies, government, unions and employers are involved in formal

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negotiations over 'any public policy relevant to the economic system'. Successful coordination of issues of conflict such as working conditions, prices and employment might be beneficial to economic growth and price stability (Armingeon 2002: 84). Since industrial relations actors repeatedly interact with one another in these interconnected games, we argue that there are some basic mechanisms that affect most activities in the sector. As argued by other researchers in political economy, there are 'three fundamental mechanisms that achieve a degree of co-operation in economic behaviour. These mechanisms are power, the market and trust' (Korczynski 2000: 3). In the present article, focusing on coordinated market economies, we shall concentrate on the non-market mechanisms of power and trust.

In order to obtain a better understanding of these mechanisms, we have to find out how important actors relate to each other in a coordinated market economy. Consequently, we need data that describe not only the bilateral relationship between two actors, but also possible *indirect* relationships. Hence, for example, two actors who do not trust each other at all might both trust, or depend on, a third actor who can perform the role of broker. Taking into account also indirect relationships, every actor in the industrial relations system could be connected to the others in a dense network of trusting relations. In such a case the whole system is characterised by trust (and trustworthiness). However, the system could also be divided into separate and even antagonistic groups where group members trust each other highly, while trust between members of different groups is rare. Therefore, it is important to know if the mechanisms work through direct or indirect relationships. And if relationships are indirect it is also important to know which actors play the crucial role of broker. Hence, we want to know: *Are all actors in the industrial relations system connected to each other or are they divided into contending but coherent groups? And in that case, do certain actors playing the role of 'brokers' connect these groups?* To be able to answer these questions we use social network analysis. By doing so we are able to perform a much more precise study of the non-market mechanisms of coordination – that is, power and trust – than has been presented previously.

Theoretical Foundations

The theoretical foundation of this article is the central idea that actors in coordinated market economies rely heavily on institutions that facilitate information sharing and collaboration in order to *reduce the uncertainty* actors have about the behaviour of others. These institutions should provide the capacity for exchanging information, monitoring behaviour, sanctioning defections and encouraging deliberative proceedings. Powerful business or employer associations are, together with strong unions, important actors within these institutions (Hall and Soskice 2001: 9–11). Hence, the political economy of coordinated market economies is dependent on a structure of *power* that can facilitate monitoring of economic actors' behaviour, and if

necessary sanction defection from cooperation. Furthermore, a high level of *trust* is also necessary to make credible commitments possible. Essentially, this means that in order to understand the mechanisms of coordination—how the uncertainty of relevant actors' strategies is reduced—we have to study the structure of power and trust in the industrial relations system.

The *structure of power* is an important component in discussions of how different institutional settings determine, for example, wage bargaining and wage inequality. It has been asserted that institutions include not only 'codified rules or formalized organizational arrangements but also government policy, and the *distribution of power* among organized interests' (Rueda and Pontusson 2002: 375, italics added). Hall and Soskice emphasise the presence of institutions which enable the exchange of information, monitoring, and the sanctioning of defections relevant to cooperative behaviour. Hence, different labour market institutions affect the distribution of power and, consequently, the outcome of strategic interaction between, for example, industrial policy-makers and trade union leaders (Hall and Soskice 2001: 5, 10). Thelen too sees non-market coordination as 'a dynamic equilibrium that is premised on a particular set of power relations—both within employer associations and between unions and employers' (Thelen 2001: 100). Consequently, we have to identify the structures of power in the industrial relations system.

Our view of power is derived from the conventional understanding that power is based on an actor's ability to dominate other participants through possession and use of resources (cf. Korpi 1985; Scott 2000: ch. 1; Öberg and Svensson 2002). Hence, power within the labour market network should correspond to these two different dimensions. Corresponding to the first dimension, information is considered to be an important resource that some actors control and others desire. Therefore, it is important to know how the actors involved evaluate the general *usefulness of the information* the other actors can offer (Coleman 1994: 34; Knoke and Kaufman 1994). The possession and control of essential information is related to corrective as well as to persuasive influence (Scott 2000). The second dimension—use of the power structure—is measured by the frequency of *contacts* in the industrial relations system, interpreted as the activation of the different power resources (cf. Knoke 1998). This results in a map of the *communication structure*.¹ We also argue that the effect of power on coordination is stronger in the case of mutual dependence, that is, in a situation in which two actors have power over each other, compared to a situation in which the power relation is unilateral.

Besides the structure of power, we contend that *trust* is crucial in promoting coordination in difficult situations. In the words of Farrell and Knight (2003: 542): 'Trust and trustworthiness become relevant explanatory concepts when the social cooperation to be explained cannot be reduced to simple institutional compliance'. Although power and trust may affect each other, we agree with Farrell that the two concepts should not be conflated (Farrell 2004). There is ample evidence that people behave cooperatively

when they trust that others will reciprocate cooperative behaviour (Tyler 2003: 281); that is, when they regard others as trustworthy. Rueda and Pontusson (2002: 351) claim that the politics of wage restraint are essentially about trust and coordination. It has also been asserted that institutional structures which include 'the making of credible commitments' are important when national political economies experience external shocks (Hall and Soskice 2001: 9–11). Accordingly, trust between the main labour market actors has been considered important in understanding success and failure in economic policy in a number of recent studies, for example in the Netherlands and in Sweden (Visser and Hemerijck 1997; Rothstein 2000, 2001). It has even been suggested that a decline in trust between workers and management is one of the causes of the rising transaction costs that are reducing labour productivity in the United States, and perhaps in many other advanced industrial economies (Braithwaite 2003: 350; Levi 2003: 84). However, so far no one has been able to actually measure levels of trust and investigate who trusts whom, and to what extent. That is our intention here.

Our view of trust corresponds to Fritz Scharpf's concept of *weak trust*:

Weak trust implies at least the expectation that information communicated about alter's own options and preferences will be truthful, rather than purposefully misleading, and that commitments explicitly entered [into] will be honoured as long as the circumstances under which they were entered [into] do not change significantly. (Scharpf 1997: 137)

This includes two important aspects of trust. A first dimension is what can be labelled 'honest intentions': the extent to which actors assume that others reveal their motives and facts before discussions or negotiations. However, we focus on the second dimension: the degree to which the actors of the labour market elite consider their colleagues to *keep their word* after informal agreements. To show motives and facts before a discussion is probably easier for those actors who seldom participate in bargaining with other parties. It could also be that this is not an important part of the trust relationship in this area. It is more important to be able to trust others to stick to their word after an agreement has been reached (cf. Öberg and Svensson 2002).

In summary, to be able to characterise more precisely and understand the 'comparative institutional advantages' of particular countries (Hall and Soskice 2001: 36) – that is, to understand the mechanisms which reduce uncertainty for the sake of coordination – we must be able to identify the structure of *power* and the structure of *trust* within the industrial relations system.

Use of Social Network Analysis

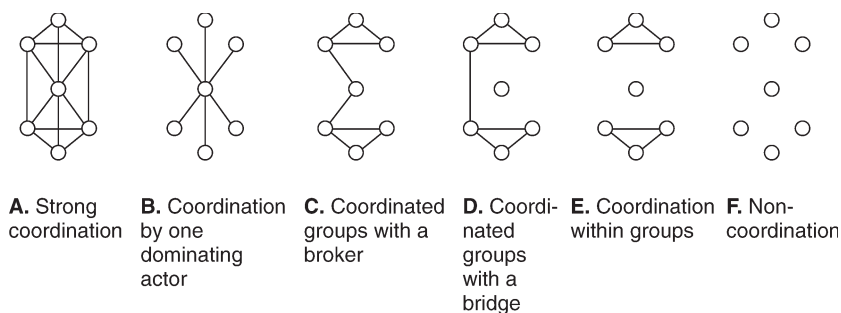
How, then, should we conduct an investigation of these characteristics of industrial relations systems? Comparative studies often rely on fairly rough

indicators of the features of varieties of capitalism. In studies of industrial relations the emphasis is mostly on employers' organisations and union density, coverage of collective agreements, and authority over different levels of organisations (for example, Traxler *et al.* 2001). Relational data are surprisingly rare. In our view this is a deficiency. In order to investigate the structure of power and trust one must pay attention to the *relationships* between the actors. This focus leads us to use social network analysis, which demands data on relationships between all collective actors in the labour market elite. In this study this is done by asking every actor in the sample about their relationship to each and everyone else with regard to these variables (technically speaking, a full network method). This is accomplished by measuring the importance of each actor in the eyes of all other actors regarding power and trust. The technical term is 'centrality', implying the number of links each actor has to all the others (if actor A considers B to be powerful there is a link between A and B) as well as the strength of these links.

To repeat and specify the research questions: *first* we want to characterise the structure of the relationships between the actors in the labour market. Are all actors closely connected to each other with regard to power and trust or are they divided into specific subgroups? If the latter is the case, do certain actors playing the role of 'broker' keep these groups together? Coordination should imply some type of connection, direct or indirect, among the main parts of the labour market. If there are no links whatsoever between employers and labour, direct or through some other actor, it would indicate absence of coordination. This also implies different ways in which the mechanisms—power and trust—could work. Coordination can rely on ties between several actors from different parts of the labour market. However, it can also rest on crucial links between a few important actors even if there are generally strong divisions between the main parts of the system. The question could therefore also be formulated as follows: Are the labour market actors related in such way that they form strong subgroups, with or without brokers or bridges linking them together? There could exist single actors that are looked upon as powerful or trustworthy by opposing camps with no other links to each other. As these actors are crucial in order to connect different and isolated parts of the labour market they serve as brokers and are supposed to be the coordinators in the system. *Second*, if there are brokers of this kind or links (bridges) between subgroups, what type of actor(s) do we find in those crucial positions?

We illustrate six different systems in Figure 1 (each node represents an actor and a line represents some kind of connection between them). Illustrated in this way, the vagueness of the theory of *varieties of capitalism* becomes evident. The dichotomy between coordination and non-coordination seems to hide quite different ideas of how the two systems are constituted. A coordinated market economy—based on power or trust—could exist in four very different modes of coordination (A–D) and the liberal type of market economy could be

FIGURE 1
IDEAL TYPES OF COORDINATION



characterised by pure non-coordination (F) as well as by coordination within groups but lacking links between the main parties in the labour market (E).

Survey and Data

This study is based on a survey of key actors in the Swedish labour market, conducted in 2000. We selected the largest and most important actors, including political parties, government bodies and agencies, public and private employers' organisations, trade unions and large companies. In order to obtain answers from these collective actors, we addressed the questionnaire to a number of persons in top positions within the different organisations. A total of 770 persons were identified in these positions. Hence, the study could also be considered an investigation of the labour market elite in Sweden. The collective actors and individual positions were identified following the principles outlined in Appendix A. A complete list of the political parties, organisations, agencies and companies is included in Appendix B.

The questionnaire was designed in such way that each individual, representing one leading position within a collective actor (in some instances representing more than one actor), answered nine questions concerning all 71 collective actors. Among the actors, one minor actor dropped out.² For every question the respondents were asked to estimate all collective actors on a seven-category scale (apart from the question on contacts, which has six categories). On the basis of the median value of individual answers for the collective actors it has been possible to create a 70×70 matrix on each of these questions. Data are valued (1 to 7, corresponding to the scale used in the questionnaire) as well as non-symmetric (the view of actor A concerning the power of actor B is not automatically the same as the estimate given by B of actor A). Excluding actors' relations to themselves, that leaves us with 4,830 relations on each question. This was the starting-point for a quantitative network analysis enabling us to characterise the structure of relations between actors as well as subgroups.³

The Swedish Case

In this analysis we concentrate on Sweden, one of the countries classified as a coordinated market economy (Hall and Soskice 2001: 19; Wood 2002). Sweden has been found to occupy a more or less extreme position in respect of almost all the important components of an industrial relations system: labour market power has been concentrated in the peak organisations (Elvander 1988: 32; Fulcher 1991: 76–81). These particular parties have supposedly been involved in an intensive interaction that—at least during some periods—has taken the form of rational deliberation, characterised by high levels of mutual trust and consensual decision-making (Elvander 1988: 42; Rothstein 2001: 207; Öberg 2002). Sweden is one of the coordinated market economies in which national-level bargaining institutions have also been ‘shored up’ by employers that have oriented their competitive strategies around ‘high value-added production that depends on a high degree of stability and cooperation with labour’ (Thelen 2001: 73; Hall and Soskice 2001). This cross-class alliance between organised labour and capital has been characterised as *negotiated solidarity* by Peter Swenson (2002), a leading expert on Swedish industrial relations.

However, some of the characteristics of what was once called the Swedish Model have changed or even vanished over the last two decades (Hermansson *et al.* 1999: 121; Swenson and Pontusson 2000; Rothstein 2001). This is said to have had important effects on the labour market regime as well (Fulcher 1991: 294–306; Visser 1996: 179; Elvander 2002: 197–216). Several studies on the development of Swedish industrial relations—above all the bargaining system—interpret the changes as extensive and important (Swenson and Pontusson 2000: 78: 99; Wallerstein and Golden 2000: 132–4; Iversen 1998). Although recognising these changes, Thelen and others argue that compared to changes in other countries these observations should not be exaggerated (Thelen 2001: 88; Elvander 2002: 198; Svensson and Öberg 2002).

So, if proponents of the *varieties of capitalism* interpretation of Western economies are correct, we should expect industrial relations in Sweden to involve important coordinating mechanisms. If these mechanisms are in accordance with the classic ‘Swedish Model’, then relations of power and trust should be dense in each subgroup, but should also contain bridges between these groups. Peak organisations and the state are the actors most likely to hold coordinating positions.

Power

Within the sphere of labour market politics the Swedish model has historically been characterised by the interplay and particular division of labour between a strong bipartite system, involving peak-level organisations, and a strong interventionist state (Rothstein 1996). Private parties handled wage bargaining, and the social democratic state was strongly

involved in legislation on labour protection and selective labour market policies fostering a solidaristic wage policy (Milner 1990: ch. 4). The firm centralisation of organised labour and capital was enforced by a cross-class alliance, with the employers and the state as the main actors (Swenson 1991, 2002). Thus, peak-level organisations in Sweden have traditionally enjoyed significant authority over lower levels within the industrial relations system. Using the ideal types above (Figure 1), we could describe the traditional system as similar to model C or D – coordination between groups with crucial bridges or brokers – where peak-level organisations have played the crucial role tying the system together.

However, according to some studies this important component has changed over recent decades (Elvander 1988: 45; Hermansson 1993; Pestoff 1995; Golden *et al.* 1999: 215; Hermansson *et al.* 1999; Johansson 2000; Kjellberg 2000). According to analyses by, for example, Swenson and Pontusson (2000: 78) we would at least expect peak organisations to be less powerful actors within the system. This is inconsistent with our findings, however, already presented in an earlier article (Öberg and Svensson 2002). On the contrary, our analysis indicates that the state and the peak organisations still seem to maintain a powerful position. It is clear that the central political and state actors, the ministries, the Labour Committee and the Social Democratic Party, as well as the relevant government agencies, are the most powerful actors dealing with political issues on the labour market. Furthermore, the main peak organisations representing employers and labour – the Swedish Employers' Organisation (SAF) and Swedish Trade Union Confederation (LO) – as well as white-collar workers (Swedish Confederation of Professional Employees – TCO), rank highly in all regards. If it has ever been otherwise, the labour market is nowadays clearly in the hands of the politicians and the state; but it can also be said that the actors associated with the classical Swedish model of peak-organisation dominance are still alive and kicking (Svensson and Öberg 2005).

It is not certain, however, that different types of actors have the same relations with all others. The strong position of the state or peak organisation can in fact hide quite different power relations within or between important subgroups.

How Are Power Relations Structured?

Relational data give us an opportunity to identify the individual relations as well as the subgroups hidden behind these results. In fact, the conclusions on the Swedish model's inertia and stability that have been reported up to now may conceal a much more complex and even conflicting pattern. In order to find such patterns, a first step is to compare power relations *within* and *between* institutionalised groups: political parties (here restricted to the Social Democrats), the state, government employers, private employers, labour unions (LO affiliates), employees (TCO affiliates), employees (SACO [Swedish Confederation of Professional Associations] affiliates) and

companies. (Technically, the measure is network block densities.) One main conclusion is that the patterns resemble some of the coordinated alternatives in Figure 1 (data in Appendix C). Institutional borders delimit power within distinct organisational spheres. Most actors look upon others within their own organisation as more powerful than actors representing other organisations, irrespective of the power dimension; at the same time, all or nearly all actors assess the power of the state and the Social Democrats as high.

An analysis of directed mutual as well as non-mutual power relations produces the same picture. State actors, together with the Social Democrats and peak organisations, are the most powerful in respect of information. However, actors representing the state are not among those who are most contacted. The everyday contacts linking the divided labour market are founded upon the power and influence of the Social Democrats, peak organisations, and some of the largest unions and employers' organisations (cf. Svensson and Öberg 2005). Thus, with the state and the peak organisations playing crucial roles, coordination within the Swedish industrial relations system seems to occur 'in the shadow of hierarchy'.

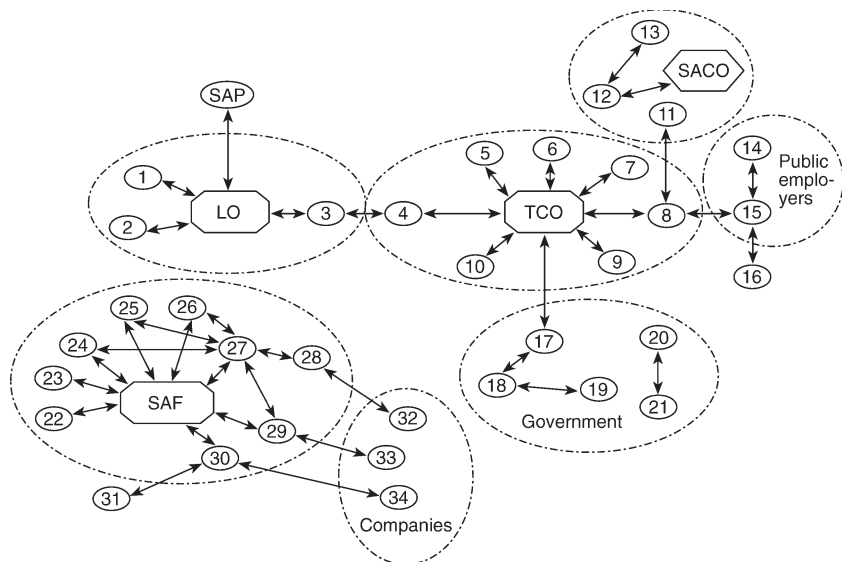
However, with the intention of taking the analysis a step further, tracing the strong mutual dependence within the system and finding the *core* of the most important actors, we use reciprocated ties (that is, to be interpreted as a link there has to be a two-way relation, both from A to B *and* from B to A).

Two kinds of relations are represented below: how information is valued, and the actual contacts between actors (note that the spatial locations in the graphs or metric distances between the actors are not interpretable). As the affiliation to different groups—political parties, state actors (including committees, the cabinet, government agencies and public employers), private employer organisations (including trade and industry organisations), trade unions (LO, TCO, SACO) and companies—is marked with dotted circles, it is also possible to discern the overall pattern of relations or cleavages between the main parts of the labour market mentioned above. This also makes it easier to find out if there are any coordinating relations or actors—bridges or brokers—between the actors and groups of actors.

The figures reveal the structures of power measured in two different ways. There are both similarities and differences between the two. Where the valuable resource of information works first and foremost within dense groups with some brokers in between (Figure 2), actual contact involves several bridges between different groups of actors, even when we ask for reciprocated (two-way) ties and look for at least monthly contacts (Figure 3).

A general feature of the relations between actors with valuable information is the clear division between employers and unions; another is that these subgroups seem to be quite dense. We appear to be looking at a situation with coordination within groups (Figure 1E). First and foremost, actors seem to consider information within their own group as the most usable. Moreover, if we look into the two larger subgroups we can also find important brokers between the different parts of these main groups, for instance tying employers

FIGURE 2
RELATIONS OF MUTUALLY VALUABLE INFORMATION

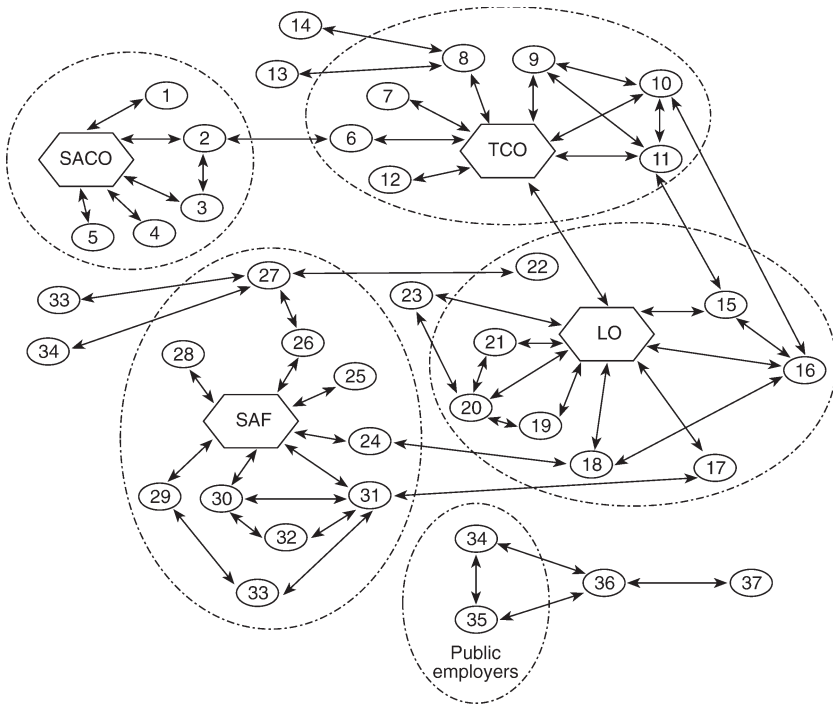


Note: *Question asked:* How usable do you consider information from those listed below? 1 = Not usable at all; 7 = Very usable. *Threshold:* Only directed links above the value of 5 are represented. The links in the network correspond to reciprocal ties, which is the result of symmetrising (minimum method) the dichotomised network. 1 = Swedish Metal Workers' Union (Metall); 2 = Union of Service and Communications Employees (SEKO); 3 = Municipal Workers' Union (SKAF); 4 = Swedish Union of Local Government Officers (SKTF); 5 = Federation of Civil Servants (ST); 6 = Swedish Teachers' Union (Lärarförbundet); 7 = Union of Financial Sector Employees (Finansförbundet); 8 = Swedish Association of Health Professionals (Vårdförbundet); 9 = Union of Commercial Salaried Employees (HTF); 10 = Swedish Union of Clerical and Technical Employees (SIF); 11 = Swedish Medical Association (Läkarförbundet); 12 = National Union of Teachers in Sweden (LR); 13 = Swedish Union of Social Workers, Personnel and Public Administrators (SSR); 14 = Swedish Association of Local Authorities (SK); 15 = Federation of Swedish County Councils (LF); 16 = Swedish Christian Democrats; 17 = National Institute for Working Life (ALI); 18 = Ministry of Industry and Commerce; 19 = Parliamentary Committee on the Labour Market; 20 = Swedish National Conciliators' Office; 21 = Swedish National Labour Market Board (AMS); 22 = Swedish Forest Industries Federation; 23 = Association of Swedish Engineering Industries (VF); 24 = Swedish Food Federation; 25 = Almega Business Service Associations; 26 = Almega: Industrial and Chemical Association; 27 = Almega: Swedish Service Employers Association; 28 = Almega: The Alliance; 29 = Swedish Construction Federation (BI); 30 = Federation of Swedish Industries (Industriförbundet); 31 = The Moderate Party (Conserv); 32 = Telia; 33 = Skanska; 34 = Volvo.

to companies and labour unions to employees, as well as to the state. The unions covering the public welfare sector (SKAF [Municipal Workers' Union] and SKTF [Swedish Union of Local Government Officers]) – linking blue-collar and white-collar unions – are good examples. Thus, in spite of lower individual power (cf. Svensson and Öberg 2005), the particular broker positions of these organisations give them the possibility to work as important coordinators within the main camps.

The relations of mutual contact resemble a large and loosely tied web as in Figure 1D (*coordination with bridges*). There are a few distinct subgroups

FIGURE 3
THE RELATIONS OF MUTUAL CONTACTS



Note: Question asked: How often do you make contact with representatives of the actors mentioned below regarding matters within your sphere of activities? 1. Rarely/Never; 2. At least once per year; 3. At least once per quarter; 4. At least once per month; 5. Every week; 6. Almost every day. *Threshold:* Only directed links above the value of 3 are represented. 1=Swedish Association of Graduate Engineers (CF); 2=Swedish Medical Association (Läkarförbundet); 3=Federation of Lawyers, Social Scientists and Economists (Jusek); 4=Swedish Union of Social Workers, Personnel and Public Administrators (SSR); 5=National Union of Teachers in Sweden (LR); 6=Swedish Association of Health Professionals (Vårdförbundet); 7=Swedish Union of Clerical and Technical Employees (SIF); 8=Union of Financial Sector Employees (Finansförbundet); 9=Union of Commercial Salaried Employees (HTF); 10=Federation of Civil Servants (ST); 11=Swedish Union of Local Government Officers (SKTF); 12=Swedish Teachers' Union (Lärarförbundet); 13=Föreningssparbanken; 14=SEB; 15=Municipal Workers' Union (SKAF); 16=Union of Service and Communications Employees (SEKO); 17=Swedish Building Maintenance Workers' Union (Fastighets); 18=Swedish Commercial Employees' Union (Handels); 19=Swedish Forest and Wood Workers' Union (Skogs- och träfacket); 20=Industrial Workers' Union (Industrifacket); 21=Swedish Metal Workers' Union (Metall); 22=Swedish Building Workers' Union (Byggnads); 23=Swedish Social Democratic Party; 24=Swedish Federation of Trade (Handelsarbetsgivarna); 25=Association of Swedish Engineering Industries (VF); 26=Federation of Swedish Industries (Industriförbundet); 27=Swedish Construction Federation (BI); 28=Swedish Forest Industries Federation; 29=Almega: The Alliance; 30=Almega Business Service Associations; 31=Almega: Industrial and Chemical Association; 32=Almega: Swedish Service Employers' Association; 33=Swedish Food Federation; 34=Swedish Association of Local Authorities (SK); 35=Federation of Swedish County Councils (Lf); 36=Swedish Christian Democrats; 37=Parliamentary Committee on the Labour Market.

around the four peak organisations. In contrast to how actors are connected in terms of whether they have useful information or not, there are important bridges tying the labour market organisations together. The labour unions

and the employers are connected through mutual contacts between affiliates in commerce and private services. The gap between blue-collar and white-collar workers is bridged by links between organisations representing those who work in the public sector, but also by organisations in the private services sector. Furthermore, TCO and SACO are linked through contacts in the health sector. The structure of alliances (not represented here) can be characterised in the same way. The distinct cleavage between the opposing labour market interests is bridged by the search by some actors for alliances. There is possible coordination stemming from specific organisations' explicit urge for allies within other 'camps'. A good example is the employer organisation in business services that builds alliances with its counterparts within the various types of trade unions – Handels (Swedish Commercial Employees' Union), HTF (Union of Commercial Salaried Employees), SSR (Swedish Union of Social Workers, Personal and Public Administration) – thereby linking the employers to the other main groups of unions.

What conclusions can now be drawn in terms of preconditions for coordination? First of all it is clear that the peak organisations still have pivotal positions within their respective subgroups. Their positions give them the resources to act as coordinators in the industrial relations system. However, using strong demands on links of power reveals an interesting pattern. Distinct cleavages between the relatively dense subgroups consisting of white-collar and blue-collar unions, and employers' organisations and companies, become clear. Where bridges exist, first and foremost regarding contacts and alliances, they are often cross-class links within certain sectors indirectly connected to the most powerful actors. Thus, crucial actors seem to tie distinct subsystems together into a coordinated one.

Trust

A significant component of industrial relations in Sweden has always been labour market actors' ability to conclude agreements in almost every area of conflict (Milner 1990: ch. 3; Fulcher 1991: 188–96). The parties involved seem to have considered it worthwhile negotiating agreements, and everyone has taken it for granted that their counterpart would stick to what had been agreed. The foundation of this situation seems to have been a high degree of mutual trust between the most important actors. The importance of trust is exemplified by the fact that the leader of the employers' confederation at the beginning of the very important 1930s was chosen 'for the very purpose of building bridges between his export interests and the worlds of finance and labour' (Swenson 2002: 120). Other centrally positioned persons in the organisation 'wanted someone who was liked and trusted by leaders of the labor movement for better communication across classes' (Swenson 2002: 97).

Bo Rothstein also argues that interpersonal trust has been very important in making collective bargaining in Sweden work. Furthermore, he argues that trust between employers and unions was established through continued

dialogue within political institutions created by the government (Rothstein 2003: 269–73). However, many observers suggest that something has changed in this regard, especially in the labour market sector (Rothstein 2001: 209).

As we concluded in the abovementioned article, actors considered trustworthy are not the same as those with power (Svensson and Öberg 2005). Although there are exceptions (political parties are generally considered to be both powerless and untrustworthy), there is a clear tendency for the most powerful organisations to be trusted comparatively less, while some of the most trusted organisations are not considered to have much power.⁴ The most central actor in relations of trust is the Labour Court (*Arbetsmarknadsdomstolen*), followed by the Conciliators' Office, no matter how it is measured (Svensson and Öberg 2005). Unlike some of the other agencies, these actors are not only considered to have honest intentions and to listen to others' arguments; they are also known to keep their word after an agreement. These findings are in accordance with what we have shown elsewhere, using data based on individuals within the Swedish labour market elite (Öberg and Svensson 2002). The roots of these two agencies go back to the beginning of the twentieth century, and have been considered by international observers to be important institutional 'building blocks' that provided 'a framework for cooperation' and laid the foundation for the 'cooperative spirit' of the Swedish model (Visser 1996: 176–77). For example, the Labour Court—with its judges nominated by both employers and unions—was an important actor when 'SAF and LO worked together solidaristically' on the problem of setting rates for piecework in Swedish industry (Swenson 2002: 158). The Court's history has apparently created a positive 'collective memory' (Rothstein 2000) that has established it as the most trusted actor in the industrial relations system. The question here is what role these trusted actors play within the system of industrial relations; that is, whether they in some way tie the system together.

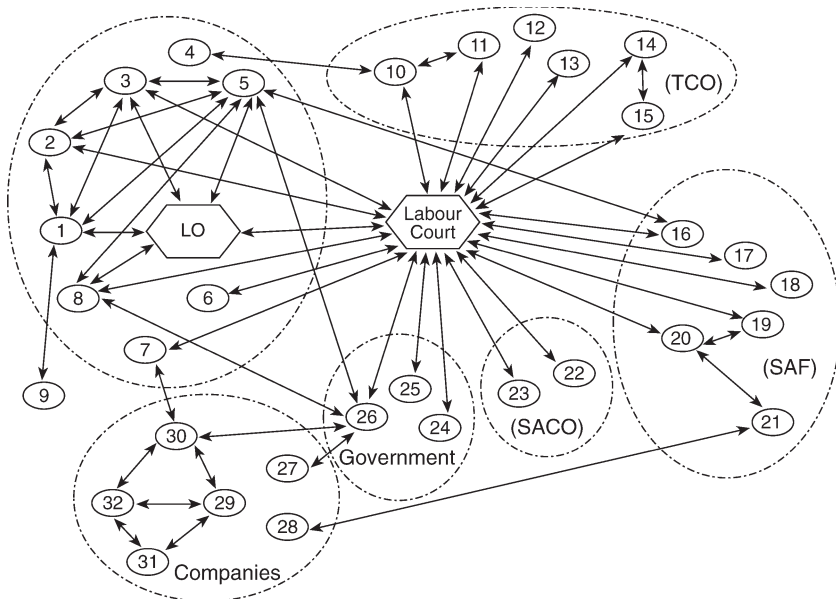
How is Trust Structured?

We have concluded that the Labour Court and the Conciliators' Office are the most central actors. We also know that the public and private employers' organisations enjoy higher levels of trust due to the fact that they are trusted by the unions but not the other way around. How then is the web of trust structured?

As with power relations, the web of trust is very complicated and dense if we dichotomise at the mid-point on our scale.⁵ All these structures are most similar to the strongly coordinated ideal type in Figure 1. However, it is reasonable to assume that a high level of trust is necessary to accomplish coordination. Furthermore, the relationship of trust has to be reciprocal in order to survive. In Figure 4 we have incorporated those two conditions: high levels of mutual trust.

Although about half of the actors are isolates (that is, no trusting relation to anyone) when using these strong conditions, the core actors are connected

FIGURE 4
RELATIONS OF MUTUAL TRUST



Note: Question asked: To what extent do you assume that representatives from the list below stand by their word after an agreement? Arrows indicates that median values are greater than 6 in both directions. 1=Swedish Metal Workers' Union (Metall); 2=Hotel and Restaurant Workers' Union (HRF); 3=Municipal Workers' Union (SKAF); 4=Industrial Workers' Union (Industrifacket); 5=Union of Service and Communications Employees (SEKO); 6=Swedish Forest and Wood Workers' Union (Skogs- och träfacket); 7=Swedish Commercial Employees' Union (Handels); 8=Swedish Building Maintenance Workers' Union (Fastighets); 9=Swedish Social Democratic Party; 10=Swedish Union of Local Government Officers (SKTF); 11=Swedish Teachers' Union (Lärarförbundet); 12=Union of Financial Sector Employees (Finansförbundet); 13=Swedish Union of Clerical and Technical Employees (SIF); 14=Union of Commercial Salaried Employees (HTF); 15=Federation of Civil Servants (ST); 16=Almega: The Alliance (Alliansen); 17=Swedish Federation of Trade (Handelsarbetsgivarna); 18=Association of Swedish Engineering Industries (VF); 19=Swedish Construction Federation (BI); 20=Almega: Swedish Service Employers' Association (AlmegaTj); 21=Almega Business Service Associations; 22=National Union of Teachers in Sweden (LR); 23=Swedish Union of Social Workers, Personnel and Public Administrators (SSR); 24=Swedish National Labour Market Board (AMS); 25=National Board of Occupational Safety and Health (ASS); 26=Ministry of Industry and Commerce; 27=Telia; 28=SJ; 29=NCC; 30=KF; 31=Skanska; 32=Sandvik.

in distinct patterns. The web of actors that trust each other to keep their word resemble a system that has *coordinated groups with a broker*. One group of LO affiliates, another group comprising a few companies and a third group consisting of a few employers' organisations are held together in one component by the large broker in the middle, the Labour Court.

There is of course a close connection between trust and deliberation, both empirically and theoretically (Braithwaite 2003). Relations between actors that are known to adhere to norms of deliberation, which is not illustrated here, do not have any coherent groups, but are *coordinated by one dominant actor*. And as in the case of trust, the dominant actor and/or broker is the

Labour Court. The important position of the Court is therefore even more evident when we analyse the complex webs of trust and deliberation in their entirety (Svensson and Öberg 2005).

We can now draw some conclusions concerning trust in the Swedish industrial relations system. The Labour Court and the Conciliators' Office are the most trusted actors. The structures of trusting relationships resemble coordination with a dominant actor or, in the case of keeping one's word, coordination by a broker. The Labour Court occupies that position, which is strengthened by the fact that there are no coordinated groups and, hence, no actors that can serve as bridges.

The Labour Court is obviously a different kind of organisation from unions and employers' organisations. The central position of the Court is very likely due to the recognition of its procedures and activities, but that may have no influence on the conclusion that the Swedish Labour Court is a very important promoter of trust in the industrial relations system. It is known from studies of trust in other areas that certain bureaucratic arrangements may create a sense of obligation to cooperate and a faith in the trustworthiness of both the bureaucrats and those regulated:

A competent and relatively honest bureaucracy not only reduces the incentives for corruption and inefficient rent-seeking but also increases the probability of cooperation and compliance, on the one hand, and economic growth on the other. To the extent that citizens and groups recognize that bureaucrats gain reputational benefits from competence and honesty, those regulated will expect bureaucrats to be trustworthy and will act accordingly. (Levi 2003: 87)

Institutions may play an especially important role in the creation of trust when the relation of power is asymmetric. It is even in the interest of a powerful actor to subject itself to external institutions. Such (self-imposed) institutional control makes the commitment of cooperation more credible as it delimits the actor's own possibility of abusing trust (Farrell and Knight 2003: 540; Farrell 2004: 13). We consider that the Labour Court plays that role. This institution seems to bridge trust between different actors in the political economy of Sweden, and in doing so contributes to a system in which uncertainty concerning other actors' strategies is reduced.

Conclusion

To sum up, research on *varieties of capitalism* has shown that some countries differ distinctly from the classical liberal market model. In those coordinated market economies, a reduction of uncertainty in the strategies of relevant actors, combined with a widespread presumption of credible commitments, constitutes the basis for coordination and helps the actors reach cooperative equilibriums. However, there have so far been few attempts to specify either the mechanisms

or the detailed structure of such coordination. In this article, we have presented some evidence of how this is achieved in Sweden. We argue that power and trust are the main components of coordination. Using network analysis we have also shown how the structure of coordination differs with regard to these two crucial coordinating mechanisms. An important idea within research on varieties of capitalism is the importance of companies, their needs and the decisions made by capitalists. These actors should therefore be important parts of the coordinating structure. However, in contrast to this widespread conception our empirical test shows that these actors do not play an important role of their own in this coordinated industrial relations system.

The most central actors of power are the ministries of finance and industry, some government agencies—especially the Labour Court—and the confederations of unions and employers' organisations. Hence, the government is very important in enhancing coordination. State agencies, often at Ministry of Industry level, possess the necessary resources and can exercise influence over other actors within the industrial relations system. Even if the change in the bargaining system is evident, coordination within the Swedish industrial relations system seem to occur 'in the shadow of hierarchy' where the state and peak organisations play crucial roles. Hence, despite the fact that peak organisations have lost their formal positions they actually coordinate actors on lower levels in the wage-setting process, as well as formulate policy proposals and create support for political solutions necessary for successful wage bargaining. The new bargaining system—sometimes called 'pattern-setting'—actually hinges on this informal coordination. The conclusion that the state and peak organisations are important actors is in accordance with our hypothesis and clearly contradicts the commonly held view of the radical shift of the Swedish model in the 1990s.

However, the overall pattern changes a little if we analyse only reciprocal bonds where the actors are more strongly tied to each other. The reciprocal relations of usable information and contacts exclude the state and leave the confederations (peak organisations) of unions and employers to be the most central actors. There are some important bridges between the organisations, consisting of organisations within the same—presumably public—sector. Thus, excluding the state, there still exists mutual dependence on, for instance, information between these organisations that keeps the labour market together. The power structure, illustrated in Figure 5, only counting mutual relations resembles Figure 1D *Coordinated groups with bridges*, but there is also a dominant actor (the peak organisation) within each subgroup.

As this article has shown, the Labour Court holds a central position when it comes to trust in the industrial relations system, however it is measured. The trust structure, too, is strongly coordinated if we dichotomise trust at the middle point of our scale. However, when we concentrate on actors that have a high level of trust in each other, the pattern is quite clear and resembles a combination of Figure 1B (*Coordinated by one dominating actor*) and Figure 1C (*Coordinated groups with a broker*). This is shown in Figure 6.

FIGURE 5
THE MUTUAL POWER STRUCTURE IN THE SWEDISH INDUSTRIAL
RELATIONS SYSTEM

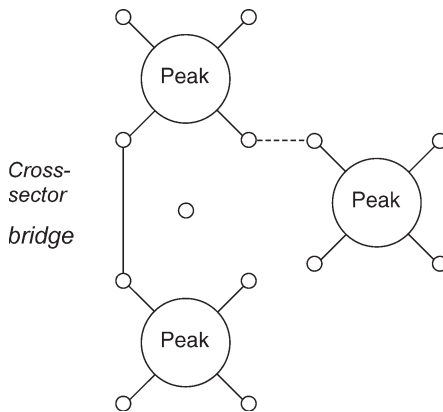
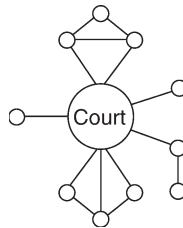


FIGURE 6
THE STRUCTURE OF TRUST IN THE SWEDISH INDUSTRIAL RELATIONS
SYSTEM



Admittedly, this study carries some of the flaws associated with extensive survey studies, and needs to be complemented with more intensive studies. Nevertheless, some preliminary conclusions are possible. As has been stated elsewhere, state actors are very important in the industrial relations system in Sweden. The relevant government ministries are most central when it comes to the different measures of power. The Labour Court and the Conciliators' Office are the most trusted actors, and are also known to be those most willing to listen to other actors and to deliberate upon their arguments. However, confederations of employers' organisations and unions are not out of the picture. They are almost as important as the state actors, and even more important within the network of contact and all networks of reciprocal power relations (Svensson and Öberg 2005).

In the present article we have shown that the structures of power and trust relations are not identical. Not only are the actors different – the ministries and the dominant political party in government, the Social Democrats, are considered powerful but are less trusted – but the configurations of the relationships are also different. The structure of power relations involves

many actors, with the ministries and other state actors at the core in the non-reciprocated structure and the peak organisations being the dominant actors in subgroups of reciprocal power relations. The structure of trust relations is less integrated, but held together by a dominant actor, the tripartite Labour Court.

By using data that allow for social network analysis, we have been able to show that peak organisations are important coordinators within their respective organisational spheres, but that there are also other important 'brokers' that take powerful positions because they can bridge information and contacts between the peak organisations. Furthermore, the other coordinating mechanism—trust—is constituted in quite another way. The Labour Court in particular acts as a broker between actors in the industrial relations system, bridging trust between actors that mistrust each other. As is proposed in the case of the National Labor Relations Board in the American context, the analysis in this article confirms that a third party, the Swedish Labour Court, seems to play an important role. However, distrust between the main contenders remains. Rather, coordination exists, as they both trust the Labour Court (cf. Levi *et al.* 2004). Trust across class boundaries is rare. Employers trust unions less than unions trust employers. This indicates that if the state were unable to maintain its powerful position and if the Labour Court should fail to sustain trust in the system, coordination within the Swedish industrial relations system may collapse.

Appendix A

TABLE A1
PRINCIPLES FOR SELECTING COLLECTIVE ACTORS AND
INDIVIDUAL POSITIONS

Actor	Selection ground for collective actors	Number of collective actors selected	Selection ground for positions	Number of positions	Response rate
Political parties	Parties represented in parliament	7	The executive boards	71	33.8 (24)
Parliamentary committees	Parliamentary Committee on the Labour Market	1	All permanent members	17	58.8 (10)
The Cabinet	Ministry of Industry and Commerce, and Finance	2	Cabinet ministers, Under-secretaries of state, assistant under-secretaries	75	28.0 (21)

(continued)

TABLE A 1
(Continued)

Actor	Selection ground for collective actors	Number of collective actors selected	Selection ground for positions	Number of positions	Response rate
Government agencies	All labour market agencies	5	Executive boards and managerial bodies	56	58.9 (33)
Public employers' organisations	All important ones	3	Executive boards and managerial bodies	51	49.0 (25)
SAF <i>Swedish Employers' Confederation</i>	Peak organisation and 10 largest federations	11	Peak-org: Executive boards and managerial bodies + experts. Federations: President, vice president and negotiating secretary	112	52.7 (59)
Trade and industry organisations	Two most important and largest	2	Executive boards and managerial bodies + experts	28	57.1 (16)
LO <i>Swedish Trade Union Confederation</i>	Peak organisation and 10 largest affiliates	11	Peak-org: Executive boards and managerial bodies + experts. Federations: President, vice president and negotiating secretary	91	51.6 (47)
TCO <i>Swedish Confederation of Professional Employees</i>	Peak organisation and 7 largest affiliates	8	Peak-org: Executive boards and managerial bodies + experts. Federations: President, vice president and negotiating secretary	78	67.9 (53)

(continued)

TABLE A 1
(Continued)

Actor	Selection ground for collective actors	Number of collective actors selected	Selection ground for positions	Number of positions	Response rate
SACO <i>Swedish Confederation of Professional Associations</i>	Peak organisation and 5 largest affiliates	6	Peak-org: Executive boards and managerial bodies + experts. Federations: President, vice president and negotiating secretary	48	58.3 (28)
Companies	15 companies with most employees in Sweden	15	Managing director + deputy + board of directors	143	37.1 (53)
Total		71		770	369

Appendix B

TABLE B 1
ACTORS AND RESPONSE RATE

Political parties	Swedish Federation of Trade (Handelsarbetsgivarna) 4	Swedish Teachers' Union (Lärarförbundet) 2
Swedish Social Democratic Party 3	Almega: The Alliance	Swedish Union of Clerical and Technical Employees (SIF) 4
The Left Party of Sweden 1	Almega: Swedish Service Employers' Association 1	Federation of Civil Servants (ST) 6
The Green Party of Sweden 3	Almega: Industrial and Chemical Association 5	Swedish Union of Local Government Officers (SKTF) 2
The Moderate Party 7	Swedish Construction Federation (BI) 3	Swedish Association of Health Professionals (Vårdförbundet) 7
The Liberal Party 3	Swedish Road Transport Employers' Association (Ba) 3	
The Swedish Christian Democrats 2	ALMEGA Business Service Associations 1	Swedish Confederation of Professional Associations (SACO)

(continued)

TABLE B1
(Continued)

The Centre Party of Sweden 6	Swedish Forest Industries' Federation 5	SACO 9
	Swedish Food Federation 3	Swedish Association of Graduate Engineers (CF) 3
Parliamentary Committees		
Parliamentary Committee on the Labour Market 10	Trade and industry associations	Federation of Lawyers, Social Scientists and Economists (Jusek) 2
	Federation of Swedish Industries (Industriförbundet) 4	National Union of Teachers in Sweden (LR) 5
The Cabinet	Federation of Private Enterprises (FR) 12	Swedish Medical Association (Läkarförbundet) 7
Ministry of Industry and Commerce 5		Swedish Union of Social Workers, Personnel and Public Administrators (SSR) 4
Ministry of Finance 15	Swedish Trade Union Confederation (LO)	
	LO 24	Companies
Government Agencies	Swedish Metal Workers' Union (Metall) 2	Posten 7
Swedish National Labour Market Board 14	Swedish Building Workers' Union (Byggnads) 2	Ericson 4
National Institute for Working Life (ALI) 5	Union of Service and Communications Employees (SEKO) 4	Volvo 4
National Board of Occupational Safety and Health (ASS) 10	Swedish Forest and Wood Workers' Union (Skogs- och träfacket) 4	Samhall 2
Swedish Labour Court (AD) 2	Swedish Food Workers' Union (Livs) 0	Telia 1
Swedish National Conciliators' Office 4	Hotel and Restaurant Workers' Union (HRF) 3	ABB 5
	Industrial Workers' Union (Industrifacket) 1	KF 3
Public employers' organisations	Swedish Commercial Employees' Union (Handels) 4	SJ 4
Swedish Association of Local Authorities (SK) 8	Swedish Building Maintenance Workers' Union (Fastighets) 1	Skanska 5
Federation of Swedish County Councils (Lf) 7	Municipal Workers' Union (SKAF) 3	NCC 2
National Agency for Government Employers 11		SEB 6

(continued)

TABLE B1
(Continued)

	Swedish Confederation of Professional Employees (TCO)	Föreningssparbanken 3
Swedish Employers' Confederation (SAF)	TCO 26	Sandvik 2
SAF 29	Union of Financial Sector Employees (Finansförbundet) 2	Stora Enso 2
Association of Swedish Engineering Industries 4	Union of Commercial Salaried Employees (HTF) 5	Apoteket 4

Appendix C: Reduced Network Block Densities

TABLE C1
INFLUENCE

	Soc. Democrats	State	Publ. Employers	Priv. Employers	Labour LO	Em- ployees TCO	Em- ployees SACO	Companies
Social Dem	—	0.125	0.000	0.000	1.000	0.000	0.000	0.067
State	0.875	0.500	0.292	0.000	0.162	0.219	0.063	0.000
Publ. Empl.	1.000	0.292	0.167	0.000	0.000	0.042	0.056	0.000
Priv. Empl.	0.583	0.385	0.051	0.282	0.108	0.096	0.141	0.097
LO	0.600	0.512	0.185	0.120	0.211	0.028	0.000	0.022
TCO	0.750	0.438	0.208	0.144	0.087	0.375	0.167	0.025
SACO	1.000	0.563	0.722	0.103	0.167	0.313	0.767	0.011
Companies	0.400	0.183	0.044	0.087	0.067	0.050	0.044	0.019

TABLE C2
INFORMATION

	Soc. Democrats	State	Publ. Employers	Priv. Employers	Labour LO	Em- ployees TCO	Em- ployees SACO	Companies
Social Dem	—	1.000	1.000	0.692	1.000	0.250	0.167	0.133
State	0.375	0.625	0.583	0.212	0.237	0.281	0.229	0.008
Publ. Empl.	0.333	0.250	0.333	0.103	0.033	0.125	0.167	0.000
Priv. Empl.	0.077	0.269	0.051	0.421	0.054	0.106	0.167	0.241
LO	0.900	0.587	0.208	0.108	0.522	0.150	0.068	0.059
TCO	0.625	0.516	0.208	0.154	0.150	0.536	0.146	0.100
SACO	0.167	0.458	0.667	0.295	0.033	0.375	0.867	0.152
Companies	0.200	0.185	0.044	0.159	0.081	0.042	0.078	0.152

TABLE C3
ALLIANCES

	Soc. Demo- crats	State	Publ. Em- ployers	Priv. Em- ployers	Labour LO	Em- ployees TCO	Em- ployees SACO	Companies
Social Dem	—	0.000	0.000	0.077	0.100	0.000	0.000	0.000
State	0.750	0.339	0.292	0.048	0.213	0.313	0.063	0.000
Publ.	0.667	0.543	0.333	0.000	0.100	0.167	0.056	0.000
Empl.								
Priv. Empl.	0.333	0.208	0.083	0.375	0.083	0.115	0.083	0.144
LO	0.700	0.463	0.125	0.038	0.645	0.109	0.021	0.008
TCO	0.625	0.406	0.208	0.135	0.200	0.446	0.229	0.108
SACO	0.667	0.167	0.611	0.103	0.067	0.292	0.600	0.000
Companies	0.133	0.150	0.111	0.210	0.087	0.042	0.033	0.057

TABLE C4
CONTACTS

	Soc. Demo- crats	State	Publ. Em- ployers	Priv. Em- ployers	Labour LO	Em- ployees TCO	Em- ployees SACO	Companies
Social Dem	—	0.000	0.000	0.000	0.200	0.000	0.000	0.067
State	0.250	0.089	0.000	0.000	0.013	0.016	0.000	0.000
Publ. Empl.	0.667	0.000	0.333	0.000	0.000	0.000	0.000	0.000
Priv. Empl.	0.077	0.068	0.026	0.320	0.079	0.093	0.093	0.082
LO	0.700	0.025	0.067	0.023	0.411	0.050	0.000	0.013
TCO	0.000	0.000	0.125	0.000	0.050	0.482	0.083	0.017
SACO	0.000	0.000	0.056	0.000	0.000	0.104	0.533	0.000
Companies	0.067	0.000	0.022	0.010	0.020	0.025	0.011	0.005

Notes

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1. In earlier articles (Öberg and Svensson 2002; Svensson and Öberg 2005) we used two additional measures of power: estimated *influence* and estimated importance of having other actors as *allies*. An actor ranked high as an associate has the ability to facilitate the creation of a needed coalition that would not otherwise be formed.
2. The share of individual respondents is just below 50 per cent (369 individuals). Considering the demanding type of questionnaire, and the fact that this is an elite survey, the response rate was quite satisfactory (see Öberg and Svensson 2002, Table 1 and footnote 4). The missing actor is the Swedish Food Workers' Union (Livsmedelsarbetarförbundet). In the process of creating a sample some demarcation problems appeared. The selection was based upon size in combination with historical importance. This choice excluded one quite large union (slightly more than 60,000 members) organising managerial staff—the Swedish Association for Managerial and Professional Staff (Ledarna). This would have been problematic if this group was in fact central in the labour market network. In order to control for this type of problem in the survey, we asked respondents to mention actors of some importance other than those explicitly given in the questionnaire, with whom they have

contacts. Only one actor explicitly mentioned this particular union. Other actors are also mentioned, but none appeared frequently. Our sample includes the important actors and does not exclude anyone of real relevance.

3. The network analysis was carried out using Ucinet, a program package developed by Martin Everett and Stephen Borgatti (Copyright (c) 1999–2000 Analytic Technologies, Inc). We use 'indegree' as a measure of an actor's centrality. This is a measure of directed links towards a certain actor. A normalised measure means that the value of degree is divided by the maximum possible degree expressed as a percentage. For further discussion of actor centrality and how to characterise networks, see, for example, Wasserman and Faust (1998) and Scott (2000).

The use of network analysis puts heavy demands on data quality. One collective actor is missing from the data. However, this is an actor of minor importance with regard to the research questions and of little consequence for the interpretation. The picture regarding individual dropouts or individual mistakes is mixed. All large organisations, especially the peak organisations, and important authorities are quite well represented. Generally, more than 50 per cent of the individual representatives answered. The lowest response rates are to be found among big companies and political parties (see Öberg and Svensson 2002: Table 1). However, there are some specific actors with low or very low response rates that could have had an influence on the results. In cases where a collective actor is represented by only one or a few positions, individual differences within the organisations can have a significant effect (for example, the Left Party with one out of six, or the Industrial Workers Union where one out of three responded). This forces us to take a cautious approach.

Apart from being non-symmetric, the network is also valued. As the calculations involve dichotomisation of data, we can make use of this property in order to find a valid division. However, it should be pointed out that different dichotomisations lead to networks of different kinds, or at least of different complexity. On the basis of the variation of answers within the different questions (Öberg and Svensson 2002) we maintain that the dichotomisation also reflects an actual variation and underestimates differences.

4. We elaborate more on the relation between power and trust in Svensson and Öberg (2005).
5. Density in the network of honest intent is .48, keeping one's word .62 and listening to arguments .31 (Svensson and Öberg 2005).

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